

chapter 3 Operating Decisions and the Accounting System

Financial Accounting

12e

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Learning Objectives

After studying this chapter, you should be able to:

- 3-1** Describe a typical business operating cycle and explain the necessity for the time period assumption.
- 3-2** Explain how business activities affect the elements of the income statement.
- 3-3** Explain the accrual basis of accounting and apply the revenue and expense recognition principles to measure income.
- 3-4** Apply transaction analysis to examine and record the effects of operating activities on the financial statements.
- 3-5** Prepare a classified income statement.
- 3-6** Compute and interpret the net profit margin ratio.
- 3-7** Identify operating transactions and demonstrate how they affect cash flows.

Understanding the Business

How do business activities
affect the income statement?

How are these activities
measured?

How are business activities
reported on the
income statement?

Learning Objective 3-1

3-1 Describe a typical business operating cycle and explain the necessity for the time period assumption.

The Operating Cycle (1 of 2)



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The Operating Cycle (2 of 2)

Until a company ceases its activities, the operating cycle is repeated continuously.

To measure income for a specific period of time, accountants follow the **time period assumption**, which assumes that the long life of a company can be reported in shorter time periods, such as months, quarters, and years

Two issues arise when reporting periodic income:

- 1) Recognition issues: **When** should the effects of operating activities be recognized (recorded)?
- 2) Measurement issues: **What amounts** should be recognized?

Learning Objective 3-2

3-2 Explain how business activities affect the elements of the income statement.

Elements of the Income Statement

Operating Activities

Revenues

The amounts earned and recorded from a company's day-to-day business activities, mostly when a company sells products or provides services to customers or clients (the central focus of the business).

Expenses

The costs of operating the business that are incurred to generate revenues during the period.

Other Items

Interest Revenue (also Investment Revenue, Investment Income, or Dividend Revenue)

Any interest or dividends earned on investments in other companies transactions.

Interest Expense

The cost of using borrowed money.

Losses (Gains) on Sale of Investments

When investments are sold for less (or more) than the original cost.

Exhibit 3.1 Chipotle Mexican Grill's Income Statement

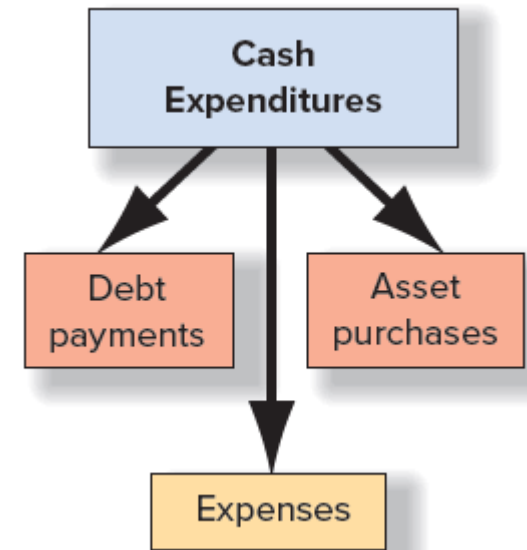
CHIPOTLE MEXICAN GRILL, INC. Consolidated Statement of Income* For the Year Ended December 31, 2023 (in millions of dollars, except per share data)		EXPLANATIONS	
		<i>Period of time that financial performance was measured</i>	
Operating section (central focus of business)	Restaurant sales revenue	\$9,872	<i>Earned from providing food service to customers during the year</i>
	Restaurant operating expenses:		
	Supplies expense	2,913	<i>Cost of food, drink, and packaging supplies used during the year</i>
	Wages expense	2,441	<i>Cost of employee wages and salaries for work during the year</i>
	Rent expense	503	<i>Cost of renting facilities used during the year</i>
	Insurance expense	311	<i>Cost of insurance coverage used during the year</i>
	Utilities expense	204	<i>Cost of electric and gas used during the year</i>
	Repairs expense	146	<i>Cost of repairing buildings and equipment during the year</i>
	Other operating expenses	768	<i>Summary of other operating costs used during the year</i>
	General and administrative expenses:		
	Training expense	411	<i>Cost of training employees and managers during the year</i>
	Advertising expense	223	<i>Cost of advertising done during the year</i>
	Depreciation expense	320	<i>Portion of cost of buildings and equipment used during the year</i>
Other Items section (not central focus of business)	Loss on disposal of assets	74	<i>Cost of assets sold during the year minus exchange price</i>
	Total operating expenses	8,314	
	Income from operations	1,558	<i>Subtraction of operating expenses from operating revenues</i>
	Other items:		<i>Revenues/expenses/gains/losses from investments/debt during the year</i>
	Interest revenue	67	<i>Earned from investments during the year</i>
	Interest expense	(4)	<i>Incurred on debt owed during the year</i>
	Income before income taxes	1,621	
	Income tax expense	392	<i>Also called Provision for Income Taxes for the year</i>
	Net income	\$1,229	<i>Difference between all revenues and expenses for the year</i>
	Earnings per share	\$44.59	<i>= \$1,229 million ÷ 27.56 million weighted average shares of stock outstanding (from Chipotle's 10-K)</i>
*The information has been adapted from actual statements and simplified for this chapter.			

Operating Revenues

- Revenues are the **amounts earned** and recorded from a company's day-to-day business activities.
 - Revenue is recorded when a company sells products or provides services to customers or clients. These revenues are from the central focus of the business. *e.g., when Chipotle sells salad bowls, it has **earned** revenue.*
- Many companies earn revenue from multiple sources such as from providing financing to customers and franchise fees.
- If a customer pays in advance, for example a gift card, the company creates a liability account: Unearned (or Deferred) Revenue.
 - This is the receipt of cash in exchange for a promise to provide a good or service in the future.
 - Later, when the customer pays with the gift card, the revenue is recognized and the liability is eliminated.

Operating Expenses

- Operating expenses are the **costs** of operating the business that are **incurred to generate revenues** during the period.
 - *Incurred = the resources or services of others that are **used***
- Many expenses are incurred in making a sale or providing a service. Without these expenses, the company cannot generate revenues.
- Expenses may be incurred before, after, or at the same time as they are paid in cash.
 - Don't confuse the terms expenditure and expense! An **expenditure** is an **outlay of cash for any purpose**, whether to buy equipment, pay off a bank loan, and pay for equipment repair. **Expenses** are cost incurred to generate revenue.
 - Therefore, **not all cash expenditures are expenses!**

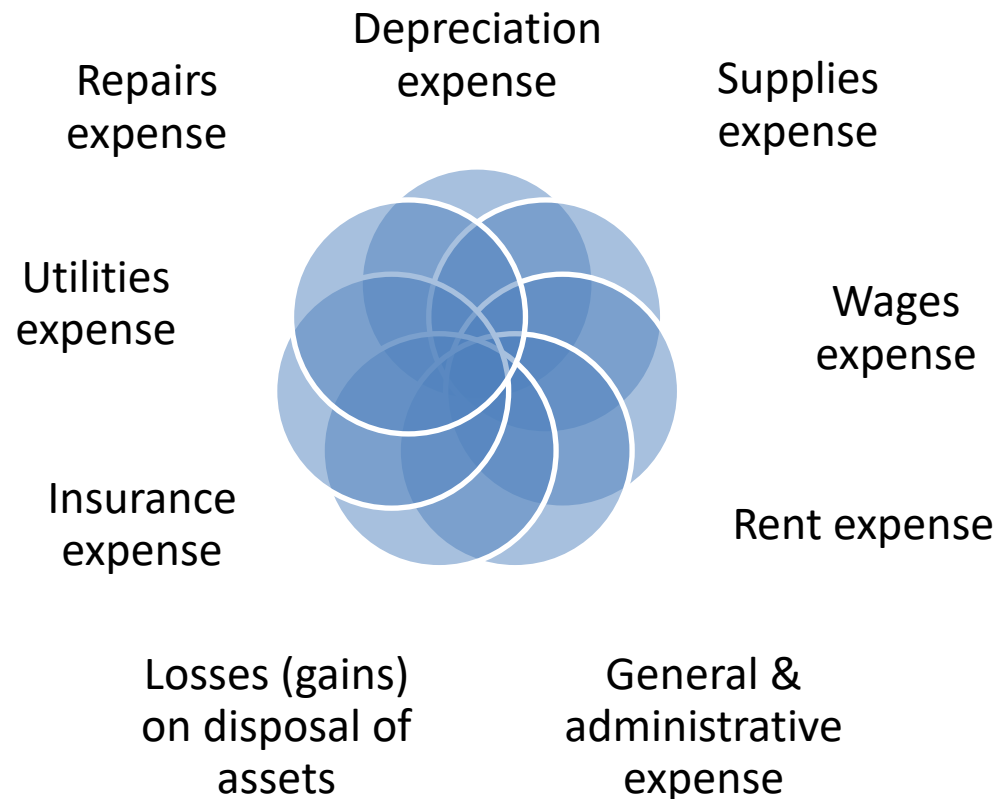


Tip

Some students confuse the terms **expenditure** and **expense**. An expenditure is an **outlay of cash for any purpose**—including to buy equipment, pay off a bank loan, and pay for equipment repair. Not all expenditures are for expenses.

Expenses, on the other hand, are costs incurred to generate revenue during the period—**most expenses are not paid in cash when incurred.**

Examples of Chipotle's Operating Expenses



Other Income Statement Items

Not all activities affecting the income statement are “central to ongoing operations”.

Revenues, expenses, gains, or losses that result from **other activities** that are NOT central to ongoing operations are categorized as **Other Items**.

These items are not included in the subtotal “Income from Operations”.

Other items typically include:

- ❖ Interest Revenue (also Investment Revenue, Investment Income, or Dividend Revenue)
- ❖ Interest Expense
- ❖ Losses (Gains) on Sale of Investments

Tip

Note that selling short- or long-term investments above or below cost also results in gains or losses, but these are reported in the Other Items section of the multiple-step income statement (they are not operating activities).

Income Tax Expense and Earnings per Share

Operating expenses are subtracted from operating revenues to determine Income before Income Taxes (also called Pretax Income).

From this subtotal, **Income Tax Expense** (also called **Provision for Income Taxes**) is calculated by applying the tax rates of the federal, state, local, and foreign taxing authorities.

Corporations are required to disclose **earnings per share** (EPS) on the income statement or in the notes to the financial statements.

$$\text{Earnings per Share}^* = \frac{\text{Net Income}}{\text{Weighted average number of shares of common stock outstanding}}$$

*As you will learn in Chapter 11: (1) If there are preferred stock dividends, the amount is subtracted from net income in the numerator, (2) the denominator for weighted average shares is a complex computation, and (3) outstanding shares are those that are currently held by the shareholders.

Typical Income Statement Format

Operating Revenues
<u>Less Operating Expenses</u>
Income from Operations
<u>Add/Less: Other Items</u>
Income before Income Taxes (<i>or Pretax Income</i>)
<u>Income Tax Expense (<i>or Provision for Income Taxes</i>)</u>
Net Income

Using Data Analytics and Artificial Intelligence (AI) in the Restaurant Industry to Increase Revenues and Decrease Costs

DATA ANALYTICS



Restaurants are using technologies including kiosks, mobile apps, and tableside tablets to analyze purchase profiles. Data analytics for monitoring employee performance, optimizing scheduling, boosting customer loyalty, and maximizing marketing efficiency.

Here are examples of how data analytics can help restaurants optimize performance, make better and faster decisions, reduce costs, and improve customer experience:

- **Panera Bread** installed order kiosks to streamline menu browsing, capture customer preferences, fine-tune the menu to shorten lines, improve operational efficiency, reduce waste, and save labor costs.
- **McDonald's** uses data to predict customer demand and drive thru sales.
- **Wendy's** developed Wendy's FreshAI automated drive thru ordering system.
- **Pizza Hut** used AI powered mood detectors to study facial expressions of customers which then recommends a pizza.
- **Starbucks** mines data from its loyalty program to send customers targeted offers at specific times.

How Are Operating Activities Recognized and Measured?

(1 of 2) Cash Basis Accounting

- **Cash basis accounting** is used by sole proprietors and small partnerships. It is simple and permitted for tax purposes.
- Cash basis accounting records each cash payment as a cash outflow and each cash receipt as a cash inflow.
- This produces **net cash flow** information that is often quite adequate for organizations that do not need to report to external users.

CAUTION: Cash basis accounting may lead to an incorrect interpretation of future company performance. The financial statements are not very useful!

GAAP does not allow the cash basis of accounting.

Revenues and expenses are often postponed or accelerated long before or after goods and service are delivered.

Other than cash, assets and liabilities of the company are not reported in financial statements.

Learning Objective 3-3

3-3 Explain the accrual basis of accounting and apply the revenue and expense recognition principles to measure income.

How Are Operating Activities Recognized and Measured?

(2 of 2)

Accrual Basis Accounting

In **accrual basis accounting**, **revenues are recognized when goods and services are provided to customers** (they are earned), and **expenses are recognized in the same period as the revenues to which they relate** (resources are used or debts are incurred to generate revenues), **regardless of when cash is received or paid**.

The two basic accounting principles that determine when revenues and expenses are recorded under **accrual basis** accounting are:

- 1) the **revenue recognition principle** and
- 2) the **expense recognition principle** (also called the **matching principle**).

Revenue Recognition Principle

The **revenue recognition principle** specifies the timing and amount of revenue to be recognized during an accounting period.

Revenue is recognized (1) when the company transfers promised goods or services to customers (2) in the amount it expects to be entitled to receive.

The five steps to follow for recognizing revenue for complex contracts are:

1. Identify the contract between the company and the customer.
2. Identify the seller's performance obligations (promised goods and services).
3. Determine the transaction price.
4. Allocate the transaction price to the performance obligations.
5. Recognize revenue when each performance obligation is satisfied (or over time if a service is provided over time).

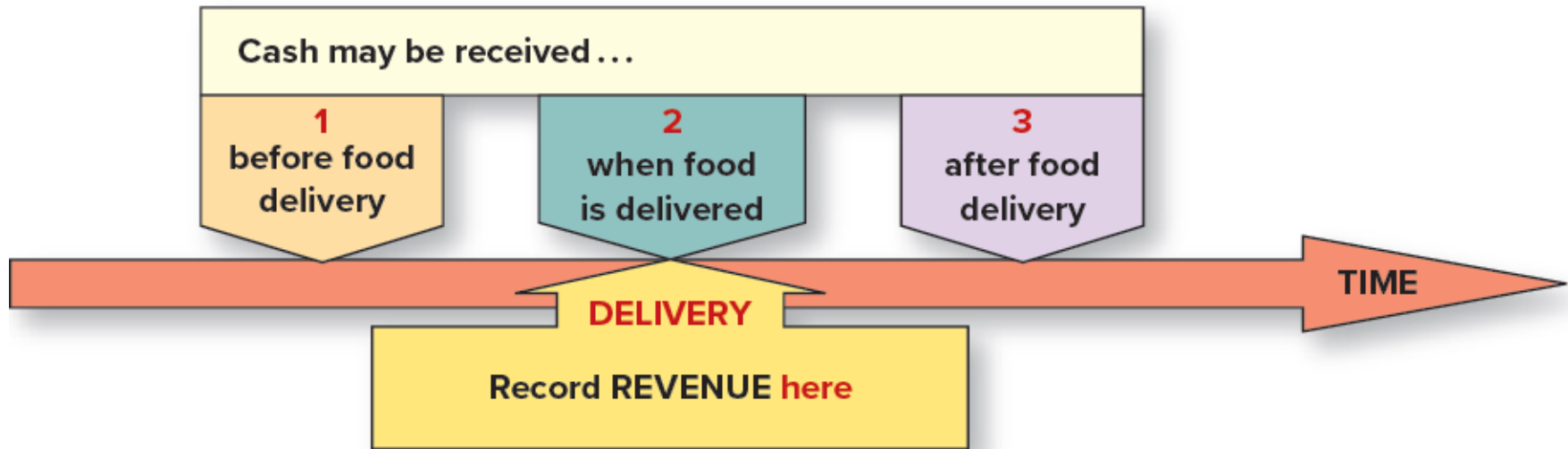


Tip Accrual Accounting, in short:

- **Recognize Revenues when EARNED** (performed, delivered)
- **Recognize Expenses when INCURRED** (resources used or debts incurred) to generate revenues in the same period

The critical point for revenue recognition under the five-step model is when goods or services are delivered, not when cash is received from customers.

Exhibit 3.2 Revenue Revenues versus Cash Receipts



Cash may be received at any of these times:

1. *Before* the goods or services are delivered.
2. *In the same period* as the goods or services are delivered.
3. *After* the goods or services are delivered.

The critical point for revenue recognition is when goods or services are delivered, not when cash is received from customers.

Revenue Recognition Disclosure

Companies typically disclose their revenue recognition practices in the financial statements, included Significant Accounting Policies or in a separate note to the financial statements. The following excerpt from Note 1 to recent financial statements describes how Chipotle recognizes revenue:

1. Description of Business and Summary of Significant Accounting Policies

Revenue Recognition

We generally recognize revenue, net of discounts and taxes, when payment is tendered at the point of sale. . . .

Delivery

We offer our customers delivery in certain geographic regions. . . . We . . . recognize revenue, including delivery fees, when delivery personnel delivers food to the customer. . .

Gift Cards

. . . Gift card balances are recorded as unearned revenue. We recognize revenue from gift cards when the balance is redeemed by the customer. . .

Chipotle Rewards

We defer revenue associated with the estimated selling price of points or rewards earned by customers until each point or reward is earned. . . We recognize revenue as points are redeemed for rewards . . . when a customer redeems an earned reward.

Expense Recognition Principle

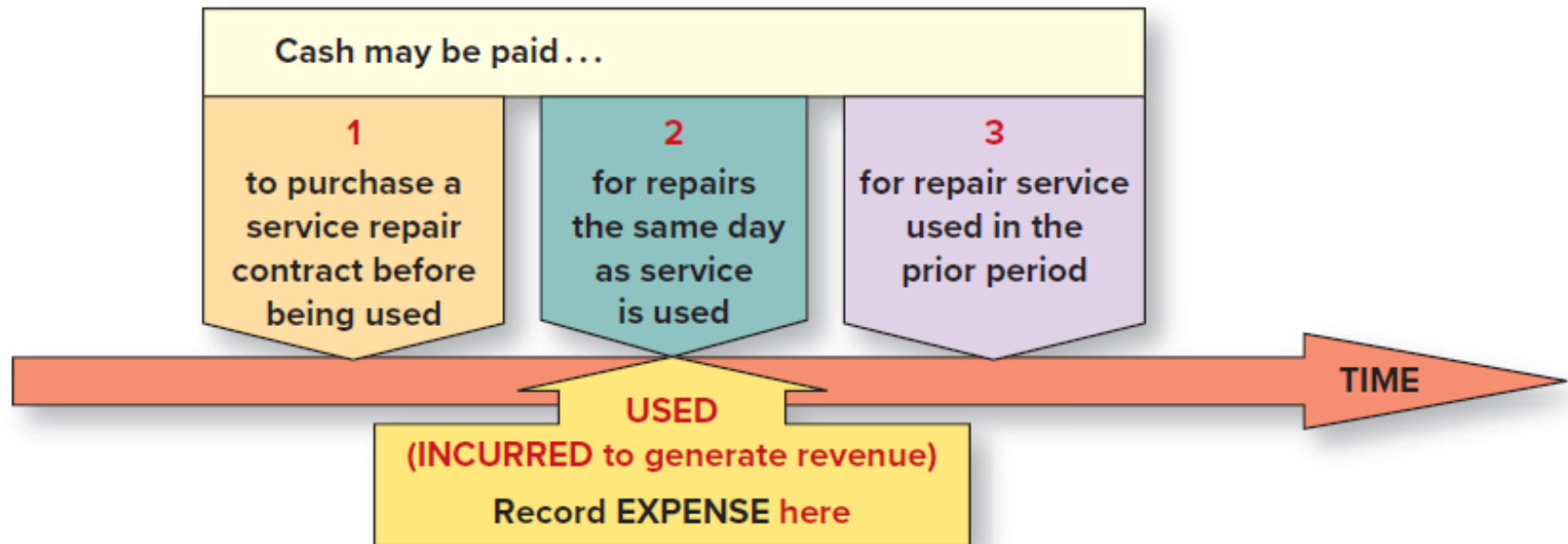
The **expense recognition principle** (also called the **matching principle**) requires that costs incurred to generate revenues be recognized in the same period—a matching of costs with benefits.

The costs of generating revenue include expenses incurred such as:

- Salaries and wages to employees who worked **during the period**.
- Utilities for the electricity used **during the period**.
- Supplies used **during the period**.
- Facilities rented **during the period**.
- Equipment used **during the period**.

As with revenues and cash receipts, expenses are recorded as incurred, **regardless of when cash is paid**. An entry will be made on the date the expense is incurred and another on the date the cash is paid, if they occur at different times.

Exhibit 3.3 Recording Expenses versus Cash Payments



Cash may be paid at any of these times:

1. *Before* the expense is incurred to generate revenue.
2. *In the same period* as the expense is incurred to generate revenue.
3. *After* the cost is incurred to generate revenue.

Expense is always recorded **when the cost is incurred**, not when the cash is paid.

Accounting for Software-as-a-Service (SaaS) as a Provider



FINANCIAL ANALYSIS

The fastest-growing software sales model is software-as-a-service (SaaS).

SaaS companies create, develop, host, and update software products through the Internet for customers. Customers pay a fixed monthly or annual subscription fee for the service. Top companies include Amazon, Salesforce.com, Shopify, and Microsoft.

How are the fees paid by customers recorded for as revenue?

- If the customer pays with a recurring fee, usually monthly, revenue is recognized on the billing date and Accounts Receivable is recorded.
- If the customer is billed for the entire contract term, then the liability Unearned (or Deferred) Revenue is recorded when the customer pays ahead of receiving services. As time passes, revenue is recorded monthly with a reduction of the liability.
- Training fees are recorded as revenue when the performance obligation is complete.



Managers are motivated to produce earnings results that meet investors' expectations to bolster stock prices. Greed may lead managers to make unethical accounting and reporting decisions, often involving falsifying revenues and expenses. **Fraud** is a **criminal offense** for which managers may be sentenced to jail.

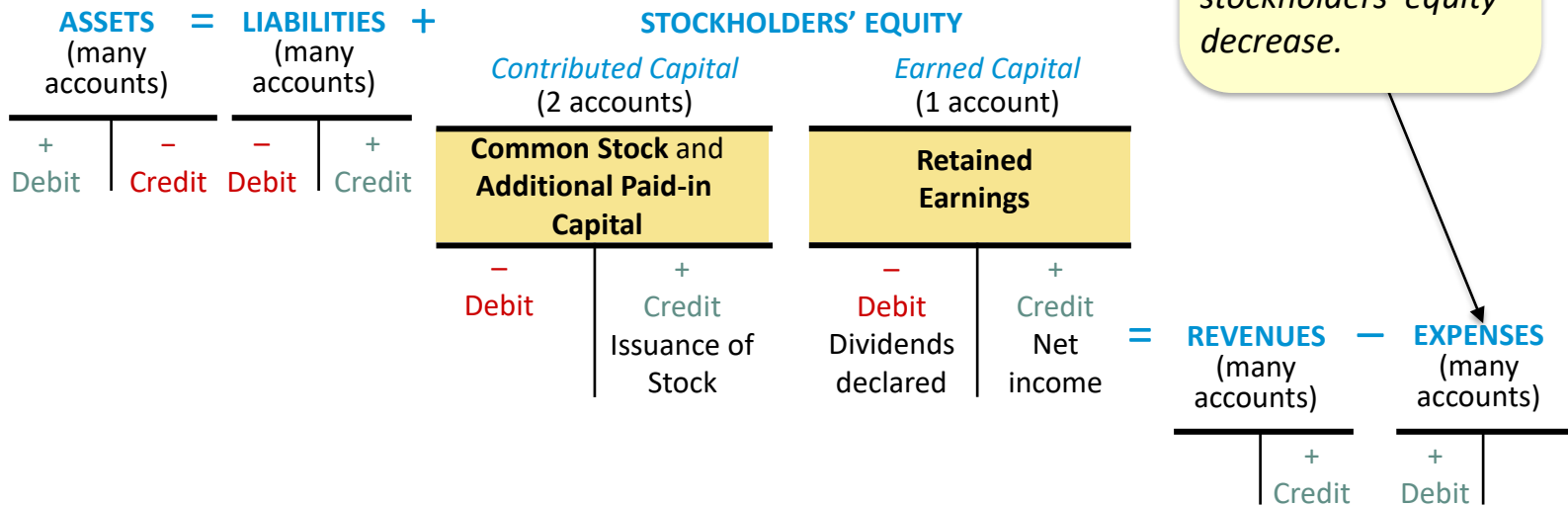
- In 2002, **WorldCom**, the second largest long-distance telephone company in the United States at the time, violated the **recognition principle** by recording \$11 billion in expenses as assets, inflating assets and overstating net income. Bernie Ebbers, age 65, CEO of WorldCom, was convicted and sentenced to 25 years in prison.
- **ZZZZ Best** was a carpet company owned by teenager Barry Minkow who took the company public in 1986. Minkow created fictitious sales to boost earnings and the stock price. At the age of 23, Minkow was arrested and sentenced to 25 years in prison. A credit firm paid \$35 million for its shares to recover the fraud. Investors and lenders reportedly lost \$100 million.

Managers are affected by accounting fraud. Shareholders lose value, employees may lose their jobs and pension funds, and customers and suppliers may be wary of dealing with a company operating under the cloud of fraud.

Learning Objective 3-4

3-4 Apply transaction analysis to examine and record the effects of operating activities on the financial statements.

Exhibit 3.4 Expanded Transaction Analysis Model



Note: Instead of reducing Retained Earnings directly when dividends are declared, companies may use the account Dividends Declared, which has a debit balance.

How do revenues and expenses affect the transaction analysis model?

When a revenue or expense is recorded, either an asset or a liability will be affected as well.

Revenues increase net income. Revenues therefore increase stockholders' equity through the account Retained Earnings. They have **credit** balances. Recording revenue requires either increasing an asset or decreasing a liability.

$$\begin{array}{c} \text{A} = \text{L} + \text{SE} \\ + \text{ or } - \quad + \quad (+ \text{ revenue } \uparrow \text{ RE}) \end{array}$$

Expenses decrease net income. Expenses therefore decrease stockholders' equity through the account Retained Earnings. They have **debit** balances. Recording an expense requires either decreasing an asset or increasing a liability.

$$\begin{array}{c} \text{A} = \text{L} + \text{SE} \\ - \text{ or } + \quad - \quad (+ \text{ expense } \downarrow \text{ RE}) \end{array}$$

Net Income v Net Loss

When **revenues exceed expenses**, the company reports **net income**, increasing Retained Earnings and stockholders' equity.

However, when **expenses exceed revenues**, a **net loss** results that decreases Retained Earnings and thus stockholders' equity.

In summary:

REVENUES

- Increase net income and stockholders' equity
- ↑ with Credits
- Accounts have credit balances

EXPENSES

- Decrease net income and stockholders' equity
- ↑ with Debits
- Accounts have debit balances

Tip

Expenses increase on the left side (the **debit side**) of the T-account to reduce net income, retained earnings, and stockholders' equity.

Exhibit 3.5

Steps for Analyzing Any Transaction

Step 1: Ask → Was a **revenue** earned by delivering goods or services?

- If so, **debit the account for what was received** (+A, -L) and **credit the revenue account** (+R, +SE)

OR Was an **expense** incurred to generate a revenue in the current period?

- If so, **debit the expense account** (+E, -SE) and **credit the account for what was given** (-A, +L)

OR If **neither** a revenue was earned or an expense was incurred, what was received and given?

debit the account for what was received (+A, -L)
credit the account for what was given (-A, +L)

Step 2: Verify → Is the **accounting equation** in balance? (Does $A = L + SE$?)

Do **debits** = **credits**?

Tip DO memorize and use the **transaction analysis model** for all transactions.

DON'T memorize journal entries—there are just too many throughout the text and they can be complex.

Analyzing Chipotle's Transactions (1 of 12)

We will now analyze, record, and post to the T-accounts the effects of the first quarter's operating activities for Chipotle.

- The T-accounts begin with the **trial balance amounts** in Exhibit 2.9.
- All amounts are in millions of dollars, except per share information.

For each journal entry:

- When a revenue or expense is recorded, we insert (+R, +SE) for revenues and (+E, -SE) for expenses to emphasize the effect of the transaction on the accounting equation and to see that the equation remains in balance.
- Debits equal credits!

Analyzing Chipotle's Transactions (2 of 12)

(1) Chipotle sold food and beverages to customers for \$1,359; \$44 was sold to universities on account (to be paid by the universities next quarter) and the rest was received in cash from customers.

	Debit	Credit
(1) Cash (+A)	1,315	
Accounts receivable (+A)	44	
Restaurant sales revenue (+R, +SE)		1,359

Assets		=	Liabilities	+	Stockholders' Equity	
Cash	+1,315				Restaurant sales revenue (+R)	+1,359
Accounts receivable	+44					

+ Cash (A) –		+ Accounts Receivable (A) –		– Restaurant Sales Revenue (R) +	
Bal.	437	Bal.	169		0
(1)	1,315	(1)	44		1,359
					Bal. (1)

Analyzing Chipotle's Transactions (3 of 12)

(2) Assume Chipotle purchased food, beverage, and packaging supplies costing \$459 during the quarter, paying \$379 in cash, and owing the rest on account to the suppliers.

	Debit	Credit
(2) Supplies (+A)	459	
Cash (-A)		379
Accounts payable (+L)		80

Assets		=	Liabilities		+	Stockholders' Equity	
Supplies	+459		Accounts payable	+80			
Cash	-379						

+ Cash (A) -			+ Supplies (A) -			- Accounts Payable (L) +		
Bal.	437		Bal.	39			198	Bal.
(1)	1,315	379	(2)	459			80	(2)

Analyzing Chipotle's Transactions (4 of 12)

(3) At the beginning of January, Chipotle paid \$207 cash for rent, insurance, and advertising to be used in the future (all included in the account Prepaid Expenses until used).

	Debit	Credit
(3) Prepaid expenses (+A)	207	
Cash (−A)		207

Assets		=	Liabilities	+	Stockholders' Equity
Prepaid expenses	+207				
Cash	−207				

+ Cash (A) −			+ Prepaid Expenses (A) −		
Bal.	437		Bal.	117	
(1)	1,315	379	(2)	207	
		207	(3)		

Analyzing Chipotle's Transactions (5 of 12)

(4) Chipotle paid \$65 as training expense for management during the quarter.

	Debit	Credit
(4) Training expense (+E, -SE)	65	
Cash (-A)		65

Assets		=	Liabilities	+	Stockholders' Equity
Cash	-65				Training expense (+E) -65

+ Cash (A) -			+ Training Expense (E) -		
Bal.	437		Bal.	0	
(1)	1,315	379	(2)	(4)	65
		207	(3)		
		65	(4)		



Tip **Reminder:** In debiting the expense, the account increases, but it has a negative effect on net income, Retained Earnings and thus stockholders' equity.

Analyzing Chipotle's Transactions (6 of 12)

(5) Chipotle paid employees \$342 for work this quarter and \$47 for work last quarter (recorded last quarter as Wages Expense and Wages Payable for the amount owed to employees who worked then).

	Debit	Credit
(5) Wages expense (+E, -SE)	342	
Wages payable (-L)	47	
Cash (-A)		389

Assets		=	Liabilities		+	Stockholders' Equity	
Cash	-389		Wages payable	-47		Wages expense (+E)	-342

+ Cash (A) -				- Wages Payable (L) +				+ Wages Expense (E) -			
Bal.	437					227	Bal.	0			
(1)	1,315	379	(2)	(5)	47		(5)	342			
		207	(3)								
		65	(4)								
		389	(5)								

Analyzing Chipotle's Transactions (7 of 12)

(6) Chipotle sold land costing \$21 for \$12 cash, resulting in a loss of \$9 on the disposal of the asset.



Losses on asset disposals are treated similarly to expenses. Use +E for losses and +R for gains.

	Debit	Credit
(6) Cash (+A)	12	
Loss on disposal of assets (+E, -SE)	9	
Land (-A)		21

Assets		=	Liabilities	+	Stockholders' Equity	
Cash	+12				Loss on disposal of assets (+E)	-9
Land	-21					

+ Cash (A) -				+ Land (A) -				+ Loss on Disposal of Assets (E) -			
Bal.	437			Bal.	33			Bal.	0		
(1)	1,315	379	(2)		21	(6)	(6)	(6)	9		
(6)	12	207	(3)								
		65	(4)								
		389	(5)								

Analyzing Chipotle's Transactions (8 of 12)

(7) Chipotle received \$61 cash from customers paying on their accounts.

	Debit	Credit
(7) Cash (+A)	61	
Accounts receivable (–A)		61

Assets		=	Liabilities		+	Stockholders' Equity	
Cash	+61						
Accounts receivable	–61						

+ Cash (A) –				+ Accounts Receivable (A) –			
Bal.	437			Bal.	169		
(1)	1,315	379	(2)	(1)	44	61	(7)
(6)	12	207	(3)				
(7)	61	65	(4)				
		389	(5)				

Analyzing Chipotle's Transactions (9 of 12)

(8) During the quarter, assume Chipotle paid \$66 on accounts payable to suppliers and paid \$25 on utilities payable (recorded last quarter as Utilities Expense and Utilities Payable for the amount owed for utility service used last year).

	Debit	Credit
(8) Accounts payable (–L)	66	
Utilities payable (–L)	25	
Cash (–A)		91

Assets		=	Liabilities		+	Stockholders' Equity	
Cash	–91		Accounts payable	–66			
			Utilities payable	–25			

+ Cash (A) –				– Accounts Payable (L) +				– Utilities Payable (L) +			
Bal.	437				198	Bal.			148	Bal.	
(1)	1,315	379	(2)	(8)	66	(2)	(8)	25			
(6)	12	207	(3)		80						
(7)	61	65	(4)								
		389	(5)								
		91	(8)								

Analyzing Chipotle's Transactions (10 of 12)

(9) Chipotle paid \$117 for utilities used during the quarter and paid \$35 for repairs of its buildings and equipment during the quarter.

	Debit	Credit
(9) Utilities expense (+E, -SE)	117	
Repairs expense (+E, -SE)	35	
Cash (-A)		152

Assets		=	Liabilities	+	Stockholders' Equity	
Cash	-152				Utilities expense (+E)	-117
					Repairs expense (+E)	-35

+ Cash (A) -				+ Utilities Expense (E) -				+ Repairs Expense (E) -			
Bal.	437			Bal.	0			Bal.	0		
(1)	1,315	379	(2)	(9)	117			(9)	35		
(6)	12	207	(3)								
(7)	61	65	(4)								
		389	(5)								
		91	(8)								
		152	(9)								

Analyzing Chipotle's Transactions (11 of 12)

(10) During the quarter, Chipotle sold gift cards to customers for \$35 in cash (expected to be redeemed for food next quarter).

	Debit	Credit
(10) Cash (+A)	35	
Unearned revenue (+L)		35

Assets		=	Liabilities		+	Stockholders' Equity	
Cash	+35		Unearned revenue	+35			

+ Cash (A) –				– Unearned Revenue (L) +			
Bal.	437				210	Bal.	
(1)	1,315	379	(2)		35	(10)	
(6)	12	207	(3)				
(7)	61	65	(4)				
(10)	35	389	(5)				
		91	(8)				
		152	(9)				

Analyzing Chipotle's Transactions (12 of 12)

(11) Assume Chipotle received \$3 cash as interest revenue earned during the quarter.

	Debit	Credit
(11) Cash (+A)	3	
Interest revenue (+R, +SE)		3

Assets	=	Liabilities	+	Stockholders' Equity
Cash +3				Interest revenue (+R) +3

+ Cash (A) –				– Interest Revenue (R) +			
Bal.	437				0	Bal.	
(1)	1,315	379	(2)		3	(11)	
(6)	12	207	(3)				
(7)	61	65	(4)				
(10)	35	389	(5)				
(11)	3	91	(8)				
		152	(9)				

Exhibit 3.6 T-Accounts Summary Balance Sheet Accounts

Balance Sheet Accounts:

+ Cash (A) –				+ Short-Term Investments (A) –				+ Accounts Receivable (A) –				+ Supplies (A) –			
Bal.	437			Bal.	716			Bal.	169			Bal.	39		
(1)	1,315	379	(2)		<u>716</u>			(1)	44	61	(7)	(2)	459		
(6)	12	207	(3)						<u>152</u>				<u>498</u>		
(7)	61	65	(4)												
(10)	35	389	(5)	+ Prepaid Expenses (A) –				+ Land (A) –				+ Buildings (A) –			
(11)	3	91	(8)	Bal.	117			Bal.	33			Bal.	2,798		
		152	(9)	(3)	207				21	(6)			<u>2,798</u>		
	<u>580</u>				<u>324</u>				<u>12</u>						

+ Equipment (A) –			Accumulated – Depreciation (A) +			Long-Term + Investments –			Operating Lease + Assets (A) –			Intangible + Assets (A) –		
Bal.	1,407			1,982	Bal.	Bal.	564		Bal.	3,665		Bal.	115	
	<u>1,407</u>			<u>1,982</u>			<u>564</u>			<u>3,665</u>			<u>115</u>	

– Accounts Payable (L) +			– Unearned Revenue (L) +			– Wages Payable (L) +			– Utilities Payable (L) +		
	198	Bal.		210	Bal.		227	Bal.		148	Bal.
(8)	66	80	(2)	35	(10)	(5)	47		(8)	25	
	<u>212</u>			<u>245</u>			<u>180</u>			<u>123</u>	

– Dividends Payable (L) +			Current Operating – Lease Liabilities (L) +			– Notes Payable (L) +			Long-Term Operating – Lease Liabilities (L) +		
	2	Bal.		254	Bal.		151	Bal.		3,914	Bal.
	<u>2</u>			<u>254</u>			<u>151</u>			<u>3,914</u>	

– Common Stock (SE) +			– Additional Paid-in Capital (SE) +			+ Treasury Stock (SE) –			– Retained Earnings (SE) +		
	2	Bal.		1,972	Bal.	Bal.	5,048			6,048	Bal.
	<u>2</u>			<u>1,972</u>			<u>5,048</u>			<u>6,048</u>	

Exhibit 3.6 T-Accounts Summary Income Statement Accounts

Income Statement Accounts:

– Restaurant Sales Revenue (R) +		– Interest Revenue (R) +	
	0 Bal.		0 Bal.
	1,359 (1)		3 (11)
	<u>1,359</u>		<u>3</u>
+ Wages Expense (E) –		+ Utilities Expense (E) –	
Bal.	0	Bal.	0
(5)	342	(9)	117
	<u>342</u>		<u>117</u>
+ Loss on Disposal of Assets (E) –		+ Repairs Expense (E) –	
Bal.	0	Bal.	0
(6)	9	(9)	35
	<u>9</u>		<u>35</u>
		+ Training Expense (E) –	
		Bal.	0
		(4)	65
			<u>65</u>

Learning Objective 3-5

3-5 Prepare a classified income statement.

How Is the Income Statement Prepared and Analyzed?

EXHIBIT 3.7

Chipotle Mexican
Grill's Trial
Balance (based on
hypothetical activities)

	A	B	C	D	E
1		CHIPOTLE MEXICAN GRILL			
2		UNADJUSTED TRIAL BALANCE*			
3		For the Quarter Ending March 31, 2024			
4		<i>(in millions of dollars)</i>	Debit	Credit	
5		Cash	580		
6		Short-term investments	716		
7		Accounts receivable	152		
8		Supplies	498		
9		Prepaid expenses	324		
10		Land	12		
11		Buildings	2,798		
12		Equipment	1,407		
13		Accumulated depreciation		1,982	
14		Long-term investments	564		
15		Operating lease assets	3,665		
16		Intangible assets	115		
17		Accounts payable		212	
18		Unearned revenue		245	
19		Wages payable		180	
20		Utilities payable		123	
21		Dividends payable		2	
22		Current operating lease liabilities		254	
23		Notes payable		151	
24		Long-term operating lease liabilities		3,914	
25		Common stock		2	
26		Additional paid-in capital		1,972	
27		Treasury stock	5,048		
28		Retained earnings		6,048	
29		Restaurant sales revenue		1,359	
30		Interest revenue		3	
31		Wages expense	342		
32		Utilities expense	117		
33		Repairs expense	35		
34		Training expense	65		
35		Loss on disposal of assets	9		
36					
37		Total	16,447	16,447	
38					
39		* Based on hypothetical transactions for the first quarter ended			
40		March 31, 2024; balances are not yet adjusted.			
41					

Debits = Credits!

Exhibit 3.7 Unadjusted Income Statement

Classified Income Statement

Note: Because this statement is based on **unadjusted** balances, it would not be presented to external users.

CHIPOTLE MEXICAN GRILL, INC.

Consolidated Statement of Income*

UNADJUSTED

For the Quarter Ended March 31, 2024

(in millions of dollars)

Restaurant sales revenue	\$1,359
Restaurant operating expenses:	
Wages expense	342
Utilities expense	117
Repairs expense	35
General and administrative expenses:	
Training expense	65
Loss on disposal of assets	9
Total operating expenses	<u>568</u>
Income from operations	791
Other items:	
Interest revenue	<u>3</u>
Income before income taxes	794
Income tax expense	<u>0</u>
Net income	<u><u>\$ 794</u></u>

*Based on hypothetical activities for the quarter.

Learning Objective 3-6

3-6 Compute and interpret the net profit margin ratio



KEY RATIO ANALYSIS

Net Profit Margin Ratio

How effective is management in generating profit on every dollar of sales?

$$\text{Net Profit Margin} = \frac{\text{Net Income}}{\text{Sales (or Operating Revenues)}^*}$$

The 2023 ratio for **Chipotle** using reported amounts (Exhibit 3.1) is (dollars in millions):

$$\frac{\$1,245}{\$9,870} \text{ or } 12.45\%$$

COMPARISONS OVER TIME			COMPARISONS WITH COMPETITORS	
Chipotle Mexican Grill			El Pollo Loco	Shake Shack
2021	2022	2023	2023	2023
0.0865	0.1041	0.1245	0.0545	0.0186

A rising net profit margin signals more efficient management of sales and expenses.

*Net sales is sales revenue less any returns from customers and other reductions. For companies in the service industry, total operating revenues is equivalent to net sales.

Learning Objective 3-7

3-7 Identify operating transactions and demonstrate how they affect cash flows.

Effect of Operating Activities on Cash Flows (1 of 2)



FOCUS ON CASH FLOWS

Only transactions affecting cash are reported on the Statement of Cash Flows. Cash flows from operating activities are primarily cash received from customers and cash paid to suppliers and other involved in operations.

As discussed in Chapter 2, companies report cash inflows and outflows over a period of time in their **statement of cash flows**. This statement is divided into three categories:

- **O** — Operating activities include those primarily with customers and suppliers, and interest paid on debt and earnings on investments.
- **I** — Investing activities include buying and selling noncurrent assets and investments.
- **F** — Financing activities include borrowing and repaying debt, including short-term loans; issuing and repurchasing stock; and paying dividends.

Tip: If you see Cash in a transaction, it will be reflected in the statement of cash flows.

Effect of Operating Activities on Cash Flows (2 of 2)



FOCUS ON CASH FLOWS

Let's analyze the Cash account for **Chipotle's** transactions in this chapter:

		Cash (A) –	
		1/1/24	
From investors	+ F (a)	31	(c) To acquire noncurrent assets
From the bank	+ F (b)	4	(d) To acquire noncurrent assets
From sale of investments	+ I (e)	19	To repay notes payable to bank
From customers	+ O (1)	1,315	-F To repurchase common stock
From sale of land	+ I (6)	12	-O To suppliers for food and paper products
From customers	+ O (7)	61	-O To suppliers of rental facilities, insurance, and advertising
From customers	+ O (10)	2	-O To train employees
From investment earnings	+ O (11)	589	To pay employees for working
		91	(8) To pay suppliers of products and utilities
		152	(9) To pay suppliers of utilities and repair service
		<u>580</u>	